

CA04

National Economy and Union Budget

About 4-6 questions a paper from the economy side of current affairs. Expect one budget figure, one RBI or inflation item, one GST or Finance Commission item, and almost certainly one global index rank. Everything below is current to September 2026 — you must add the October and November releases yourself.

This is the numbers chapter. Union Budget 2026-27, the Economic Survey, the GDP and inflation releases, the RBI's rates, GST 2.0, the 16th Finance Commission and India's rank in the global indices. RPSC does not ask you to analyse the economy. It asks you to recall one figure, one date or one rank correctly. So the work here is memorising a small set of numbers and keeping every number tied to the year it belongs to.

National Economy (to September 2026)

Budget 2026-27

- 1 Feb 2026, Viksit Bharat 2047
- ₹53,47,315 cr total
- Fiscal deficit 4.3%
- Capex ₹12.22 lakh cr

Budget 2025-26

- Fiscal deficit 4.4%
- Nil tax up to ₹12 lakh
- Nuclear Energy Mission
- Urban Challenge Fund

Economic Survey 2025-26

- Tabled 29 Jan 2026
- 2025-26 growth 7.4%
- 2026-27 projected 6.8-7.2%
- FDI USD 81 bn

Data revisions

- GDP base 2011-12 to 2022-23
- CPI base 2012 to 2024=100
- FY26 real growth 7.7%
- Back-series due Dec 2026

RBI (Aug 2026)

- Repo 5.25%
- SDF 5.00%, MSF 5.50%
- Stance neutral
- Governor Sanjay Malhotra

GST 2.0

- 56th Council, Sept 2025
- Slabs 5% and 18%
- 40% demerit rate
- Effective 22 Sept 2025

16th Finance Commission

- Arvind Panagariya
- 2026-27 to 2030-31
- Devolution 41%
- New: GDP contribution 10%

Indices

- Happiness 116th (WHR 2026)
- GII 38th (2025)
- GIFT City 43rd in GFCI
- Fiscal Health Index: Odisha 1st

Trade deals

- UK CETA in force 15 Jul 2026
- Oman CEPA Dec 2025
- NZ FTA Apr 2026
- EU FTA concluded Jan 2026

How to read this chapter — and what RPSC actually does with it

Economy current affairs looks intimidating because it is all numbers. It is not. RPSC picks from a very narrow menu. Look at the past papers — a budget headline figure, a policy rate, a GST slab, a Finance Commission fact, an index rank. That is the whole menu. You do not need to understand fiscal policy. You need to say the right number when a year is named.

- Every figure here is tied to a year. Learn the pair — number AND year — never the number alone.

- The commonest error is mixing Budget 2025-26 figures with Budget 2026-27 figures. RPSC builds whole questions on that.
- Index ranks change with each edition. Learn the rank WITH the edition named.
- Statement-based questions are about 19% of the RAS paper, and this is where they land.
- All content below is current as of September 2026.

YAAD RAKHO

Yaad rakho the four dates that anchor this whole chapter: 22 September 2025 (new GST rates take effect), 29 January 2026 (Economic Survey), 1 February 2026 (Union Budget AND the 16th Finance Commission report), 15 July 2026 (India-UK CETA enters into force). Nearly every chronological-ordering question in this chapter is built from these four.

Union Budget 2026-27 — the headline numbers

The Union Budget for 2026-27 was presented on 1 February 2026. The theme is Viksit Bharat 2047, built around three 'Kartavyas'. Begin with total expenditure — in any budget, that is the most-asked single number.

Budget 2026-27 — the figures to memorise

Item	Figure
Presented on	1 February 2026
Theme	Viksit Bharat 2047, three 'Kartavyas'
Total expenditure	₹53,47,315 crore, up 7.7% over RE 2025-26
Receipts excluding borrowings	₹36,51,547 crore
Borrowings	₹16,95,768 crore
Nominal GDP growth assumed	10%

Item	Figure
Fiscal deficit	4.3% of GDP
Revenue deficit	1.5% of GDP
Primary deficit	0.7% of GDP
Outstanding liabilities of the Centre	55.6% of GDP
Medium-term debt target	About 50% of GDP by 2030-31

Notice the shift in the fiscal anchor. India no longer targets a fixed fiscal deficit number over the medium term. The anchor is now the DEBT ratio — outstanding liabilities down from 55.6% to about 50% of GDP by March 2031. So if a question asks for the Centre's medium-term fiscal target, the answer is a debt-to-GDP path, not a deficit number. And do not say expenditure fell: total spending is up 7.7% and capital spending up 11.5% over the revised estimates. Only the subsidy bill came down.

- Revenue expenditure: ₹41,25,494 crore.
- Capital expenditure: ₹12,21,821 crore, up 11.5%.
- Interest payments: ₹14,03,972 crore.
- Interest payments equal 26% of total spending and 40% of revenue receipts.
- Subsidies ₹4,54,773 crore, DOWN 3.1% — food ₹2,27,629 crore, fertiliser ₹1,70,799 crore.

Budget 2026-27 — where the money actually goes

Two lists get asked: the biggest ministries and the biggest schemes. Learn each as an ORDER, not as isolated figures. If you know the sequence, a match-the-following solves itself. And note the top scheme — MGNREGA, the name every aspirant grew up with, has been replaced by VB-G RAM G, which now takes the largest scheme allocation in the Budget.

Largest ministry allocations, Budget 2026-27

Rank	Ministry	Allocation
1	Defence	₹7,84,678 crore, about 15% of the Budget
2	Road Transport and Highways	₹3,09,875 crore
3	Railways	₹2,81,377 crore
4	Home Affairs	₹2,55,234 crore
5	Education	₹1,39,289 crore, up 14.2% — the sharpest rise of these five

Largest scheme allocations, Budget 2026-27

Scheme	Allocation
VB-G RAM G (replaced MGNREGA)	₹95,692 crore
Jal Jeevan Mission	₹67,670 crore
PM-KISAN	₹63,500 crore, unchanged
PMAY-Gramin	₹54,917 crore, up 69%
Samagra Shiksha	₹42,100 crore

New initiatives of Budget 2026-27 and their outlays

Initiative	Outlay
Electronics Component Manufacturing Scheme	₹40,000 crore (outlay raised to this level)
Viksit Bharat Rozgar Yojana	₹20,083 crore
Carbon Capture, Utilisation and Storage (CCUS) mission	₹20,000 crore
Biopharma SHAKTI	₹10,000 crore over five years, for biologics and biosimilars
SME Growth Fund	₹10,000 crore — NOT ₹40,000 crore, that is the electronics scheme
City Economic Regions	₹5,000 crore each

Budget 2026-27 — tax, disinvestment and transfers; and how it differs from 2025-26

Understand the logic first and the details follow. The big personal income-tax giveaway came in the PREVIOUS budget, 2025-26. So in 2026-27 the government left personal slabs alone and pointed relief at companies, financial centres and remittances instead.

- Personal income-tax slabs: UNCHANGED in 2026-27.
- Minimum Alternate Tax cut from 15% to 14%.
- IFSC tax holiday extended from 10 years to 20 years.
- Securities Transaction Tax raised — options to 0.15%, futures to 0.05%.
- TCS on education and medical remittances and on tour packages cut to 2%.
- Disinvestment and other miscellaneous capital receipts: ₹80,000 crore, up 136%.
- Transfers to states ₹26,20,769 crore, of which tax devolution ₹15,26,255 crore.
- Capex loans to states (50-year, interest-free): ₹1,85,000 crore.

TRAP

The nil-tax threshold of ₹12 lakh under the new regime belongs to Budget 2025-26. It was NOT introduced in 2026-27, and it was NOT raised to ₹15 lakh in 2026-27. Both wrong versions are already in circulation as options.

Now hold the two budgets apart. RAS 2026 can legitimately ask about either, so keep a clean two-column picture in your head. Two memory hooks. The deficit goes 4.4 then 4.3 — later year, lower number, which is the direction of the whole fiscal path. And each budget has one ₹20,000 crore mission: 2025-

26 is NUCLEAR, 2026-27 is CARBON capture. N before C matches 2025 before 2026.

Union Budget 2025-26 vs Union Budget 2026-27

Union Budget 2025-26	Union Budget 2026-27
Total expenditure ₹50,65,345 crore	Total expenditure ₹53,47,315 crore
Fiscal deficit 4.4% of GDP	Fiscal deficit 4.3% of GDP
Nil income tax up to ₹12 lakh introduced	Personal slabs unchanged; MAT cut 15% to 14%
Nuclear Energy Mission ₹20,000 crore	CCUS mission ₹20,000 crore
Urban Challenge Fund ₹1 lakh crore	City Economic Regions ₹5,000 crore each
Maritime Development Fund ₹25,000 crore	SME Growth Fund ₹10,000 crore

Economic Survey 2025-26, the growth data and the two base-year revisions

The Economic Survey is tabled one day before the Budget. Two things get asked — the date, and the projection for the coming year. Learn both exactly. Two errors are standard distractors here: it is a current account DEFICIT of 0.8%, not a surplus; and the projection for 2026-27 is 6.8 to 7.2 per cent, not 8.0 to 8.5.

Economic Survey 2025-26 — the asked facts

Item	Figure
Tabled in Parliament	29 January 2026
Growth estimate for 2025-26	7.4%
Projection for 2026-27	6.8% to 7.2%
Medium-term potential growth	About 7%

Item	Figure
Retail inflation, April-December 2025-26	1.7%, against 4.6% a year earlier
Current account deficit, first half of 2025-26	0.8% of GDP, down from 1.3%
FDI in 2025	USD 81 billion
Unemployment rate (2023-24)	3.2%

- Actual outturn beat the Survey: FY 2025-26 real GDP growth 7.7% on Provisional Estimates.
- Q4 of FY 2025-26: 8.6%. Q1 of FY 2026-27: 7.8%.
- Manufacturing grew 10.7% in FY26; agriculture about 3%.
- Retail inflation on the new 2024=100 CPI series: 2.75% in January 2026, 3.21% in February, 3.40% in March, 4.45% in July 2026.
- So the 2026 story is inflation RISING off a very low base, not falling.

ASKED IN RAS

ASKED IN RAS 2016, 2018, 2023 AND 2024 — inflation: headline versus core, the tolerance band, cost-push. Some of these were near-verbatim repeats. So do not stop at the latest figure. Be able to say: the RBI's target is 4% CPI inflation with a tolerance band of plus or minus 2 percentage points, that is 2% to 6%; headline CPI includes food and fuel, core CPI excludes them.

Two statistical series were rebased in this window, and base-year questions are a documented RPSC repeat. Keep them apart — the National Accounts and the CPI have DIFFERENT new base years.

The two rebasings — do not merge them

National Accounts (GDP)	Consumer Price Index (CPI)
Old base 2011-12	Old base 2012 = 100
New base 2022-23	New base 2024 = 100
Revised series released February 2026	New series first used for January 2026 data
Back-series to 1950-51 due December 2026	Prices from about 1,400 urban markets and about 1,465 villages
New sources: ASUSE, PLFS, GSTN, e-Vahan, PFMS	Online market prices now included
Double deflation introduced in manufacturing and agriculture	—

ASKED IN RAS

ASKED IN RAS 2013, 2021 AND 2024 — national income aggregates and base-year revision (NNP, GNI, which base year is current). With two fresh rebasings in 2026, the chance of a base-year question this time is very high. The safe answers as of September 2026: GDP base 2022-23, CPI base 2024.

CURRENT LINK

Volatile, as of September 2026: the CPI prints for October and November 2026 and the Q2 FY27 GDP release (due end November 2026) all land BEFORE the 6 December 2026 paper. Write the two latest figures onto this page in the last week of November.

RBI monetary policy, banking and the financial sector

The Monetary Policy Committee meets six times a year. What RPSC asks is narrow: the current repo rate, the stance, and the Governor's name. Learn the

full corridor though, because the question often names the SDF or the MSF rather than the repo.

Policy rates as of the August 2026 review

Rate or item	Position
Repo rate	5.25%
Standing Deposit Facility (SDF)	5.00%
Marginal Standing Facility (MSF)	5.50%
Bank Rate	5.50%
Stance	Neutral
Vote	Unanimous
Governor	Sanjay Malhotra

YAAD RAKHO

Corridor trick: SDF is the FLOOR, MSF is the CEILING, repo sits between them — 5.00, 5.25, 5.50, one step of 25 basis points each side. Know the repo and you can derive the other two. And note: in August 2026 the MPC HELD the repo at 5.25%. It did not cut it to 5.25% at that meeting; the rate was already there.

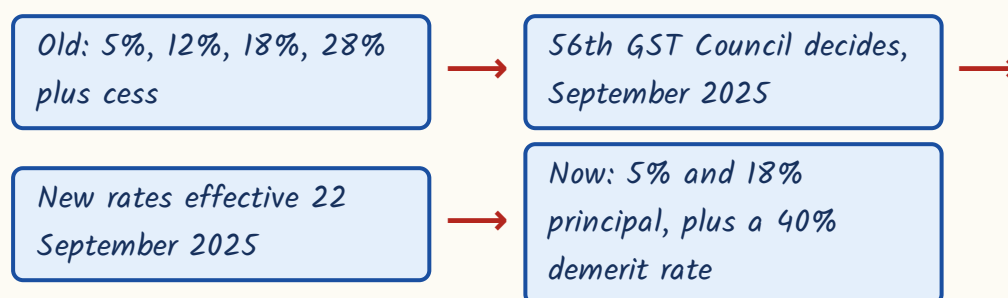
- RBI's August 2026 projections: real GDP growth 6.7% for FY 2026-27, CPI inflation 5.0% for the year, core 4.3%.
- Note the gap — the RBI at 6.7% is more cautious than the Economic Survey at 6.8-7.2% for the same year.
- RBI proposed polymer (plastic) banknotes from the next financial year, subject to field trials.
- RBI Financial Inclusion Index stood at 67 as of March 2025.
- GIFT City ranked 43rd in the Global Financial Centres Index, 38th edition.

- Monsoon Session 2026 ran 20 July to 13 August 2026 and passed four economic laws.
- Bankers' Books Evidence Bill 2026 — replaces the Bankers' Books Evidence Act of 1891.
- MSME Development (Amendment) Bill.
- Taxation and Other Laws (Amendment) Bill.
- Tribunals Reforms Bill — creates a National Tribunals Commission.

GST 2.0 and the 16th Finance Commission

These are the two structural reforms of the window, and both are near-certain question sources. Take GST first. The 56th GST Council met in September 2025, chaired as always by the Union Finance Minister, Nirmala Sitharaman. It collapsed the old four-slab structure: the 12% and 28% slabs were abolished. What remains is two principal slabs plus one punitive rate.

GST slab structure, before and after September 2025



What moved where under GST 2.0

Item	New treatment
Individual life and health insurance premiums	Exempt — nil
Cement, air conditioners, televisions	28% down to 18%
Small cars and two-wheelers up to 350 cc	28% down to 18%
Pan masala, gutkha, cigarettes	40% demerit rate
Yachts, helicopters, lottery	40% demerit rate

Item	New treatment
Motorcycles above 350 cc	40% demerit rate

TRAP

Cement is the classic trap — it came DOWN to 18% and is NOT in the 40% slab. And there are TWO principal slabs, not three. Anyone who says '5%, 12% and 18%' has fallen for it.

ASKED IN RAS

ASKED IN RAS 2018 AND RAS 2024 — GST and Input Tax Credit. So alongside the new rates, keep the basics ready: GST is a destination-based consumption tax, the Council is chaired by the Union Finance Minister, and input tax credit lets a business set off tax paid on inputs against tax due on output.

The 16th Finance Commission

The 16th Finance Commission's report was tabled in Parliament on 1 February 2026 — the same day as the Budget. Its award period runs 2026-27 to 2030-31 and its chairman is Arvind Panagariya. The most-asked fact will be the devolution share, and the answer is that it was RETAINED at 41%. It was not raised to 45% and it was not cut. Every wrong option plays with that number.

16th FC horizontal devolution criteria and weights

Criterion	Weight
Income distance	42.5%
Population (2011 Census)	17.5%
Demographic performance	10%
Area	10%
Forest and ecology	10%

Criterion	Weight
Contribution to GDP (NEW criterion)	10%

- Four criteria carry 10% each — demography, area, forest-ecology, GDP contribution. Four tens make 40; income distance and population make the other 60.
- Tax-and-fiscal-effort, weighted 2.5% by the 15th FC, has been DROPPED.
- Grants of ₹9.47 lakh crore over five years.
- Of that: rural local bodies ₹4.4 lakh crore, urban local bodies ₹3.6 lakh crore, disaster management ₹1.56 lakh crore.
- Revenue deficit grants to states DISCONTINUED.
- Centre's fiscal deficit recommended to fall to 3.5% of GDP by 2030-31.

India in the global economic indices — the guaranteed question

Listen carefully, because this is the highest-return page in the chapter. Global index rankings are a documented RPSC habit, and one index in particular has been asked in three consecutive papers. Learn the rank WITH the edition year — a rank without an edition is worthless in this exam.

ASKED IN RAS

ASKED IN RAS 2021, RAS 2023 AND RAS 2024 — India's rank in the World Happiness Report. Three consecutive papers, which makes it the most reliable single question in the whole economy current-affairs block. As of September 2026 the live edition is the World Happiness Report 2026, released 19 March 2026: Finland first for the NINTH consecutive year, India 116th, up from 118th in the 2025 edition. It is published by the Wellbeing Research Centre at the University of Oxford with Gallup and the UN Sustainable Development Solutions Network.

India's rank — always quote the edition

Index or report	Edition	India's position
World Happiness Report	2026	116th; Finland 1st for the 9th year
Global Innovation Index (WIPO)	2025	38th of 139
Human Development Report (UNDP)	2025	130th
Global Hunger Index	2025	102nd
Corruption Perceptions Index	2025	91st
Global Terrorism Index	2026	13th
Climate Change Performance Index	2026	23rd
Climate Risk Index (Germanwatch)	2026	9th most affected
Global Gender Gap Report (WEF)	2025	131st; Iceland 1st for the 16th year
Global Financial Centres Index	38th edition	GIFT City 43rd
RBI Financial Inclusion Index	March 2025	Value 67
NITI Aayog Fiscal Health Index	Latest edition	Topped by Odisha

Who publishes what — the matching question

Index or report	Publisher
Global Innovation Index	WIPO
Global Terrorism Index and Global Peace Index	Institute for Economics and Peace
Climate Change Performance Index and Climate Risk Index	Germanwatch
Human Development Report	UNDP
World Happiness Report	Oxford Wellbeing Research Centre, with Gallup and UN SDSN
Global Gender Gap Report	World Economic Forum

ASKED IN RAS

ASKED IN RAS 2021 AND RAS 2024 — the Ease of Doing Business ranking and DPIIT. Be careful here. The World Bank's Doing Business report was DISCONTINUED; India's last rank on it was 63rd. It has been replaced by the Business Ready (B-READY) assessment, and India's B-READY assessment was scheduled for 2026. If an option offers a shiny new 'Ease of Doing Business rank' for India, be suspicious. Also keep the Climate Change Performance Index (23rd, policy performance) apart from the Climate Risk Index (9th most affected, damage suffered) — both are Germanwatch, and merging them is the standard mistake.

CURRENT LINK

Volatile, as of September 2026: fresh editions of the Global Innovation Index, the Global Hunger Index and the Corruption Perceptions Index are normally released between September and December. Any of them can land before 6 December 2026. Overwrite the rank AND the edition year before the exam.

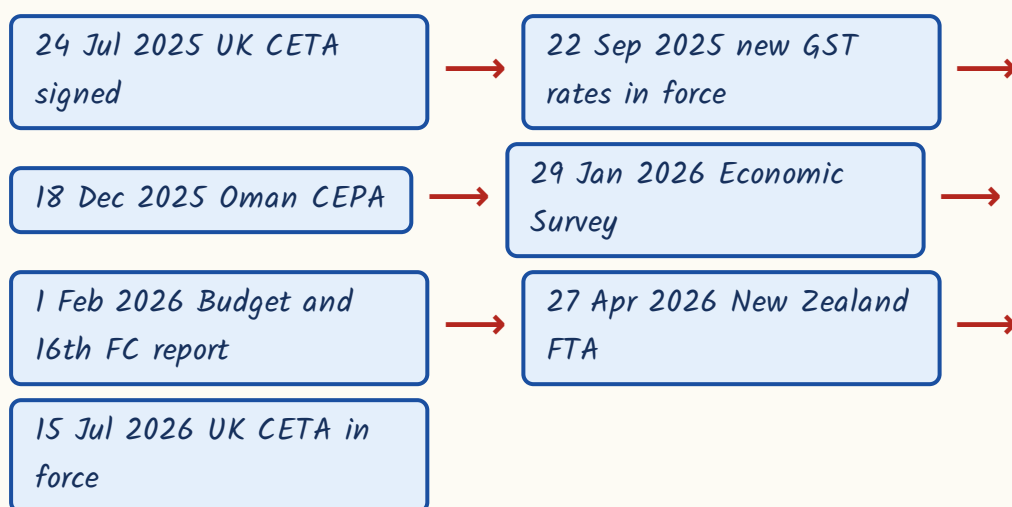
Trade agreements and other economic decisions

India signed or concluded four trade agreements in this window. This is pure partner-and-date recall, and it feeds straight into chronological-ordering questions. Order trick: U-O-E-N — UK, Oman, EU, New Zealand. And remember CETA was SIGNED in July 2025 but came into FORCE in July 2026; those are two separate dates and two separate questions.

India's trade agreements in the window

Agreement	Date	Note
India-UK CETA	Signed 24 July 2025	In force 15 July 2026; 90.2% of India's exports duty-free
India-Oman CEPA	Signed 18 December 2025	Comprehensive Economic Partnership Agreement
India-EU FTA	Concluded January 2026	About 97% of tariff lines, 99.5% of trade value
India-New Zealand FTA	Signed 27 April 2026	Concluded in the same FTA push

The economic chronology RPSC will scramble



- Under the India-EU FTA, EU tariff elimination covers Indian exports worth about USD 33 billion and 144 EU service subsectors were opened.
- Atal Pension Yojana continued till 2030-31 — Cabinet decision, January 2026.
- BHAVYA-Rasayan chemical parks scheme: ₹3,030 crore.
- GOBARDhan National Circular Bioenergy Scheme: ₹23,731 crore.
- Foreign Assets Disclosure Scheme Rules 2026: undisclosed foreign assets up to ₹1 crore, and property up to ₹5 crore, may be declared by 31 December 2026 on payment of 60% of value.

REVISION RECAP

1. Union Budget 2026-27, presented 1 February 2026, theme Viksit Bharat 2047: total expenditure ₹53,47,315 crore, up 7.7%.
2. Budget 2026-27 deficits: fiscal 4.3%, revenue 1.5%, primary 0.7%; debt 55.6% of GDP heading to about 50% by 2030-31.
3. Capex ₹12.22 lakh crore, up 11.5%; interest payments 26% of spending and 40% of revenue receipts; nominal GDP growth assumed 10%.
4. Ministry order 2026-27: Defence, then Road Transport, Railways, Home, Education.
5. Scheme order 2026-27: VB-G RAM G (which replaced MGNREGA), Jal Jeevan Mission, PM-KISAN, PMAY-Gramin, Samagra Shiksha.
6. New in 2026-27: Electronics Components ₹40,000 cr, VB Rozgar Yojana ₹20,083 cr, CCUS ₹20,000 cr, Biopharma SHAKTI and SME Growth Fund ₹10,000 cr each.
7. Tax 2026-27: slabs unchanged, MAT 15 to 14%, IFSC holiday 10 to 20 years, STT up, TCS cut to 2%; disinvestment target ₹80,000 crore.
8. Budget 2025-26: ₹50,65,345 crore, deficit 4.4%, nil tax to ₹12 lakh, Nuclear Energy Mission ₹20,000 cr, Urban Challenge Fund ₹1 lakh cr.
9. Economic Survey 2025-26, tabled 29 January 2026: 2025-26 growth 7.4%, 2026-27 projected 6.8-7.2%, CAD 0.8% of GDP in H1, FDI USD 81 billion.
10. Actual growth: FY26 7.7% provisional, Q4 FY26 8.6%, Q1 FY27 7.8%, manufacturing 10.7%.
11. GDP base shifted 2011-12 to 2022-23, series out February 2026, back-series to 1950-51 due December 2026; CPI base shifted 2012 to 2024=100.
12. RBI, August 2026: repo 5.25%, SDF 5.00%, MSF and Bank Rate 5.50%, neutral, unanimous; Governor Sanjay Malhotra; FY27 growth 6.7%, CPI 5.0%.
13. 56th GST Council, September 2025: two principal slabs 5% and 18% plus a 40% demerit rate, effective 22 September 2025.
14. GST 2.0: individual life and health insurance exempt; cement, ACs, TVs, small cars and sub-350cc bikes to 18%; pan masala, gutkha, cigarettes, yachts and big bikes at 40%.
15. 16th Finance Commission, Arvind Panagariya, award 2026-27 to 2030-31, report tabled 1 February 2026, devolution retained at 41%.
16. 16th FC weights: income distance 42.5, population 17.5, then 10 each for demographic performance, area, forest-ecology and the NEW GDP contribution; fiscal effort dropped.
17. 16th FC grants ₹9.47 lakh crore; revenue deficit grants discontinued; Centre's fiscal deficit to 3.5% of GDP by 2030-31.
18. Indices: Happiness 116th (WHR 2026, Finland 1st for a 9th year), GII 38th (2025), HDR 130th (2025), Hunger 102nd (2025), Corruption 91st (2025), Gender Gap 131st (2025).

19. Trade: UK CETA signed 24 July 2025 and in force 15 July 2026; Oman CEPA 18 December 2025; EU FTA concluded January 2026; New Zealand FTA 27 April 2026.
20. Monsoon Session 2026 laws: Bankers' Books Evidence Bill replacing the 1891 Act, MSME Amendment, Taxation and Other Laws Amendment, Tribunals Reforms.